

ALL INDIA DISCOM ASSOCIATION (AIDA)

Minutes of 1st Meeting of Committee on Commercial Aspects of Discom Functioning

Minutes of 1st Meeting of Committee on Commercial Aspects of Discom Functioning held virtually on 22nd August, 2025 at 12.00 noon.

1. Welcome and Introduction

At the outset, Shri Satyendra Nath Kalita, Director (Regulatory Affairs), AIDA and Convenor of the Committee, welcomed members to the first meeting of the Committee on Commercial Aspects of Discom Functioning. He underlined the importance of addressing commercial and regulatory issues that directly impact the financial viability of distribution companies. He highlighted the committee's broad mandate and introduced Mr. Rajul Agarwal, Sr. Vice President, BSES Rajdhani Power Ltd., who was invited to share BRPL's experiences.

2. Presentation by Shri Rajul Agarwal

Mr. Rajul Agarwal, Sr. Vice President, BSES Rajdhani Power Ltd: provided an overview of BSES's transformation since privatization in 2002. He highlighted the reduction of losses from 52% to 6.6% through key initiatives such as modernization of metering, establishment of a project management office, vertical segmentation of O&M and business functions, and focused energy auditing at the DT level. He noted the success of digital payments with 92% online collections and improved recoveries from government agencies through a dedicated consumer cell.

He further shared that all-India AT&C losses currently stand at 16.12%, with billing and collection efficiencies of 86.91% and 96.51% respectively, stressing that even a 3% loss reduction could significantly bridge the ACS-ARR gap. He also underlined regulatory challenges including delays in tariff orders, recognition of regulatory assets, inconsistent adoption of CERC guidelines, and varying approaches to return on equity.

3. Discussions and Interventions

Ms. Shailaja Vachhrajani, CFO, MGVCL complimented Mr. Agarwal for his insightful presentation and sought guidance on promoting digital payments in rural areas. She noted that while MGVCL has achieved 100% collection efficiency, consumers in rural areas still prefer physical payments and receipts despite initiatives like CSCs and *E-Gram*. She requested suggestions on overcoming this challenge and improving digital adoption.

Mr. Rajul Agarwal responded that while Delhi, being an urban utility, records 92% digital payments, rural discoms could encourage adoption by issuing instant digital receipts for online transactions, which may help address consumer concerns over the need for a physical receipt

DG, AIDA added that discoms could encourage digital payments by offering loyalty points and ensuring that PDF receipts issued online are officially recognized for all payment adjustments. He suggested issuing clear directions to finance teams so that consumers gain confidence in digital receipts, similar to practices followed by platforms like Uber, Ola.

Ms. Kiran Gupta complimented Mr. Agarwal's presentation and sought clarifications on DT-wise loss monitoring in case of back feeding, the process of new connections through

WhatsApp while meeting regulatory requirements, and recovery challenges in unauthorized rural areas where police support is often required.

Mr. Rajul Agarwal explained that a field mobility app ensures accurate DT-wise energy auditing by capturing feeder change management in real time, with metering done on the LT side. He clarified that WhatsApp is only a tracking/service tool, while applications must be submitted via the website or app. On rural recovery, he noted it remains a challenge across discoms and is managed through a mix of consumer engagement and police support.

Ms. Kiran Gupta also observed that despite technological advances, discoms often face regulatory constraints in dealing with issues such as unauthorized constructions, connection rejections due to clearance norms, and consumer pressures amplified through social media. She requested AIDA's support, particularly through its Regulatory Affairs division, to take up such matters with regulators and provide a way forward, as discoms alone often feel constrained in addressing these challenges.

DG, AIDA acknowledged the issue and noted that a Supreme Court judgment (UP Housing Board case) requires occupancy certificates for releasing connections. He informed that legal opinion has been obtained and the matter is under deliberation in the Executive Council for recommendations to the Ministry of Power. He recognized the dilemma faced by discom officials in cases of illegal constructions and assured that the concern will be taken up appropriately.

Mr. Joydeep Roy, Chief Commercial, TP North Odisha Discom complimented Mr. Agarwal's presentation and shared Odisha's success in reducing AT&C losses close to single digits by engaging Women Self-Help Groups (WSHGs) in meter reading and collections. He highlighted that over 600 WSHGs now serve around 2 lakh consumers, achieving >96% accuracy in OCR-based meter reading and significantly improving recovery in difficult rural terrains. He noted that collection and reading coverage have exceeded expectations and sought Mr. Agarwal's insights on effective methods of customer segmentation and behavioral analysis for improving recoveries.

4. Concluding Remarks

Mr. Alok Kumar, DG, AIDA in his closing remarks appreciated the valuable points raised and emphasized that the committee's purpose is to go deeper into issues and bring out effective solutions. He requested Mr. Joydeep Roy to prepare a 3–4-page paper on the Odisha experience of using self-help groups for billing accuracy and improved collections, to be included in AIDA's Annual Report as a good practice for wider dissemination among member discoms. He noted that several strong action points have emerged for further deliberation.



(Satyendra Nath Kalita)

Convenor, AIDA Committee